85 WHIPPANY RD CARE PAD

Hanover Twp, Morris County, NJ · 114 units (78 AL · 36 MC) · 4 acres · 45 min to Midtown

Recommendation: Hold: absorption. Arbor Terrace Florham Park (80 AL/MC, opening late 2027) uses up most of the unmet demand this pad needs. Hold behind Florham Park; do not pursue both.

CAPITAL REQUIRED	EQUITY · LOAN	YIELD ON COST · FULLY TAXED
$57.8M	**$23.1M · $34.7M**	**7.06%**
LEVERED IRR · MULTIPLE	PROFIT AT STABILIZATION	AT RISK BEFORE APPROVAL
12.2% · 1.58x	**$13.3M**	**$2.62M**

THESIS

- **Approvability.** Care use permitted in zone; AL may need interpretation. Opposition risk is low.
- **Deal route.** Pad from JMF. JMF owns 86 ac; pad carve-out.
- **Need and rents.** Need 58, rent support 81 and approval 66 on a 100-point scale. About 10,022 age- and income-qualified households 75+ in the 7-mile market.
- **Returns.** 7.06% yield on cost against a 6.5% floor. Value at a 6.50% exit cap is $72.5M on trended NOI of $4.71M. Max land at the floor is $10.7M against a $5.7M basis.

SOURCES AND USES

Land	$5.70M
Hard cost	$32.27M
Site work	$1.08M
Contingency	$1.67M
FF&E	$2.51M
Soft cost	$6.67M
Construction interest	$2.76M
Lease-up reserve	$5.10M
Total uses	**$57.75M**
Equity, 40% (LP 90% / GP 10%)	$23.10M
Construction loan, 60% LTC	$34.65M

SCHEDULE

Predevelopment and approvals	9 mo
Construction	20 mo
Lease-up to stabilization	30 mo
Site control to sale	**59 mo**

TEAM

Operator, first call	Benchmark / National Development
Operator, second	Sunrise
General contractor	IMC Construction (alternate O.A. Peterson Construction)

DOWNSIDE CASES

CASE	YOC	UNLEV. IRR	LEV. IRR	MULTIPLE	PROFIT
Base case	7.06%	6.6%	12.2%	1.58x	$13.3M
Rents −10%	6.26%	2.7%	5.4%	1.23x	$5.3M
Hard costs +10%	6.57%	4.3%	8.2%	1.36x	$9.0M
Exit cap +50 bps	7.06%	4.2%	8.0%	1.36x	$8.2M
Lease-up +6 months	6.94%	5.7%	10.6%	1.57x	$13.4M
Combined downside	**5.74%**	**-1.6%**	**-3.4%**	**0.86x**	**−$3.5M**

All four shocks at once (rents −10%, hard costs +10%, exit cap +50 bps, lease-up +6 months) take yield on cost to 5.74% and the levered IRR to -3.4%, a $3.5M loss on a sale at stabilization.

KEY RISKS AND HOW WE CLOSE THEM

Entitlement	Amend existing approval; approval odds 60% (Even). OB-RL3 permits nursing homes/hospitals; JMF approved for 400 homes + hotel.
Lease-up	30 months to stabilization at industry-norm net move-ins (2–4 a month for AL/MC, 3–6 for IL; NIC MAP). The downside case adds 6 months.
Rents	Rents run at 0.90x the base rate card, a calibrated estimate. A NIC MAP pull and a rate shop of the competitive set come before LOI.
Absorption	Hold. Whippany sits closer to the existing Whippany and Parsippany cluster and has a smaller 75+ base. With Arbor Terrace counted, unmet demand nearly disappears at a 10% need rate, so the pad does not support 114 units on its own. Hold it behind Florham Park; only one of the two should go forward.
Taxes	Underwritten fully taxed at $8,500 a unit; an assessor letter confirms it before LOI.

NEXT STEPS

1. Confirm AL under OB-RL3; call JMF.
2. Gate 1 · Feasibility by month 3, $0.19M at risk. Counsel confirms the amend existing approval path; the massing fits bulk and parking; Phase I and wetlands flagging are clean.
3. Gate 2 · Political read by month 6, $0.30M at risk. Staff sees a path; mayor and a board majority are neutral or supportive; no organized opposition after abutter meetings.
4. Gate 3 · Zoning in place by month 14, $0.61M at risk. The zoning action is adopted or the wetlands permit issues with workable conditions.

Model outputs for screening, not an appraisal, offer or investment advice. Estimates are replaced with NIC MAP and assessor data before LOI. Full dossier: senior-living-pipeline-1cia.vercel.app/sites/NJ-06. Excel model: senior-living-pipeline-1cia.vercel.app/models/ATCO-NJ-06-proforma.xlsx